

## 24STCV28664 24STCV28664

County: los-angeles

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Case Number: 24STCV28664 Hearing Date: July 14, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

JOSHUA

GIL, et al.,

Plaintiff(s),

vs.

MATTHEW

EGAN, et al.,

Defendant(s).

Case No.:

24STCV28664

Hearing

Date:

July 14,

[TENTATIVE]

ORDER RE:

PETITION TO CONFIRM ARBITRATION AWARD

I. BACKGROUND

Plaintiffs Joshua Gil (Gil) and Nice Yab Jeff LLC (NYJ) (collectively, "Plaintiffs") filed their operative First Amended Complaint (FAC) against defendants Matthew Egan (Egan), Hola Restaurant LLC (HRL), Hola Comida III LLC (HCII), Hola Comida IV LLC (HCIV), Hola Comida Management LLC (HCM), Hola Comida Hospitality LLC (HCH), and Does 1 through 10, alleging the following.

After several conversations, Gil (a chef) and Egan (a creative producer, director, and editor of film and television) agreed to enter into a partnership to establish and operate restaurants in Los Angeles. (FAC ¶¶ 19, 20.) Egan would contribute money and general business acumen, and Gil would contribute his culinary skills and restaurant-specific knowledge. (FAC ¶ 20.) Gil was the primary force in coming up with the restaurant names, settling on Mirame, Mirate, and Miranos, which, in English, translate into Look at Me, Look at You, and Look at Us, respectively. (FAC ¶ 20.) Egan agreed. (FAC ¶ 20.)

The two individuals entered a Limited Partnership Agreement (hereinafter, the "LP Agreement") to form a partnership called "Hola Comida I LP," (Hola Comida I) whereby HRL would act as the General Partner and Gil would act as a Limited Partner of the partnership. (FAC ¶ 21.) Subsequent court filings attaching a copy of the LP Agreement show that the agreement was signed by Egan, as the authorized representative of HRL, and Gil in his personal capacity.

The LP Agreement included, among other things, equity divisions and the following prohibitions: (1) General and Limited Partners could not use "the name of the Partnership, or any substantially similar name, or any trademark or trade name adopted by the Partnership, except in the ordinary course of the Partnership's business," and (2) General Partner could not use "directly or indirectly, the assets of this Partnership for any purpose other than the carrying on the business of the Partnership, for the full and exclusive benefit

of all its parties.” (FAC ¶ 22.)

However, Egan never intended to fulfill his part of the agreement, and instead leveraged Gil’s services as well as the assets, property, and goodwill created by Hola Comida I LP dba Mírame to establish other companies (HCH, HCM, HCII, and HCIV (collectively, the “Derivative Companies”) for his sole benefit, while neglecting and allowing HRL to be suspended by the Secretary of State. (FAC ¶ 28.)

Despite the suspension of HRL and creation of the Derivative Companies, Mírame continued to operate normally in tandem with Mírate until July 2, 2023, when Mírame ceased operations, and Egan represented to Gil that Gil had no equity or ownership in Mírate, despite previously telling Gil and representing to the public that Gil and Egan were partners in the operation of Mírate. (FAC ¶¶ 26-29.)

Thus, the FAC asserts causes of action for: (1) Breach of Written Contract, (2) Breach of Oral Contract, (3) Breach of Implied Covenant of Good Faith And Fair Dealing, (4) Breach of Fiduciary Duty, (5) Aiding And Abetting Breach of Fiduciary Duty, (6) Fraudulent Misrepresentation, (7) Fraudulent Concealment, (8) Fraudulent Inducement, (9) Statutory Claim For Improper Disposition of Property Or Services, and (10) Constructive Trust.

On January 17, 2025, Egan, HRL, and the Derivative Companies filed a motion to compel Gil’s lawsuit to arbitration pursuant to the arbitration clause in the LP Agreement. Plaintiffs opposed the motion.

On March 19, 2025, the Court granted the motion and compelled the parties to arbitration.

On April 2, 2026, Gil filed his first Petition for Order Confirming Arbitration Award (the “First Petition”), seeking “an order confirming the March 18, 2026, arbitral award in his favor.” (4/2/26 First Petition, p. 1:4-5.)

On April 17, 2026, Egan, HRL, and the Derivative Companies (collectively, “Respondents”), opposed the First Petition, arguing, inter alia, that the First Petition was premature because the award was not final.

On April 30, 2026, the Court denied the First Petition

without prejudice, agreeing with Respondents that the arbitration award was not yet final.

On May 7, 2026, Gil filed the instant Petition for Order Confirming Arbitration Award (the “Second Petition”), seeking an order confirming the “Final Award,” which is made of three rulings by the arbitrator:

1.

Interim award ruling of February 23, 2026 (5/7/26 Escalante Decl., Ex. C);

2.

Corrections ruling of March 19, 2026 (5/7/26 Escalante Decl., Ex. H); and

3.

Motion to Tax Costs ruling of April 16, 2026 (5/7/26 Escalante Decl., Ex. J).

(Second

Petition, p. 2, fn. 1 [stating that the three components together “constitute the statutorily-defined final award because they were signed, served, and addressed all issues presented to the arbitrator. (See *Cooper v. Lavelly & Singer Professional Corp.* (2014) 230 Cal.App.4th 1, 13 [noting the statutorily defined award may come in ‘multiple incremental awards’].) On May 18, 2026, Respondents filed their Response to the Second Petition. On May 26, 2026, Gil filed his reply.

On June 2, 2026, the Court ordered the parties to file, by June 16, 2026, supplemental briefs addressing the following issues that were raised by the parties’ papers: “(1) Issue re reservation of exclusive jurisdiction [in a License Agreement introduced later in this ruling] vs. Arbitration Agreement [in the LP Agreement], and (2) Whether there is anything that prevented Defendant from filing a request for correction of the arbitration award [with regard to their contention that the arbitrator did not have the authority to award Gil royalties under or make any findings under the License Agreement].” (6/2/26 Minute Order, p. 1.) On June 16, 2026, the parties filed their supplemental briefs.

On June 22, 2026, a Notice of Death and Substitution was filed notifying the Court that Gil had passed away on that date and that Mrs.

Nellie Gil, Gil's mother and trustee of the Joshua Misael Gil Irrevocable Trust, intends to substitute as plaintiff. On June 30, 2026, the Court granted the parties' stipulation to have Mrs. Gil (hereafter, "Petitioner") substitute in Gil's place.

## II. LEGAL STANDARD

"Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." (Code Civ. Proc., § 1285.) Such a petition must set forth the substance, or attach copies of the arbitration agreement, award, and any written opinion. (Id., § 1285.4.) It must be served between 10 days and 4 years from the date the award was served on the petitioner. (Id., §§ 1288 & 1288.4.) The other party may respond to the petition. (Id., § 1285.2.)

"If a petition or response under this chapter is duly served and filed, the court shall confirm the award as made, whether rendered in this state or another state, unless in accordance with this chapter it corrects the award and confirms it as corrected, vacates the award or dismisses the proceeding." (Code Civ. Proc., § 1286.) "If an award is confirmed, judgment shall be entered in conformity therewith." (Code Civ. Proc., § 1287.4.)

The petition must: "(a) [s]et forth the substance of or have attached a copy of the agreement to arbitrate unless the petitioner denies the existence of such an agreement"; "(b) [s]et forth the names of the arbitrators" and "(c) [s]et forth or have attached a copy of the award and the written opinion of the arbitrators, if any." (Code Civ. Proc., § 1285.4.) The petition must also "name as respondents all parties to the arbitration and may name as respondents any other persons bound by the arbitration award." (Code Civ. Proc., § 1285.) A petition to confirm an award must be served and filed within four years after the date the petitioner was served with a signed copy of the award. (Code Civ. Proc., § 1288.)

## III. DISCUSSION

The Second Petition asks the Court to confirm the Final Award and enter the following judgment in his

favor:

1. [Money judgment] in favor of Mr. Gil as follows:

i.

\$961,526.00

from Mr. Egan, HCIII, HCH, and HCM, jointly and severally;

ii.

\$112,103.10

[in royalty damages] from HCIV, HCH, and HCM, jointly and severally;

iii.

[\$16,232.99][1]

from all Respondents, jointly and severally; and

iv.

\$9,823.47

in post-Award, pre-judgment interest at the rate of seven percent (7%) per annum (equating to \$209.01 per day) from April 16, 2026 through the date hereof.

2. The Limited Partnership Agreement, dated January 2020, and executed by both Mr. Gil and Mr. Egan, is binding on Mr. Gil and Mr. Egan; and

3. The License Agreement is binding and, pursuant to that Agreement, Mr. Gil has a right to receive a royalty equal to 0.5% of the Gross Revenues received by the restaurants doing business as Daisy and Mirate until such time as the License Agreement is lawfully terminated.

(5/7/26 Proposed Order, p. 1:11-2:4.)

In their Response, Respondents ask the Court to vacate or correct the Final Award in part as follows.

1. Deny the Second Petition as to the royalty components of the award and the requested declaratory relief;

2. Vacate the royalty damages of \$112,103.10 under Code of Civil Procedure section 1286.2, subdivision (a)(4), on the grounds that the Arbitrator exceeded his powers by adjudicating rights under the License Agreement—a separate contract with an exclusive court jurisdiction clause, never submitted to arbitration, under which Gil is not the royalty obligee—and by awarding damages on a theory entirely absent from the First Amended Notice of Claims;

3. Vacate the Mirate royalty correction of \$82,518.48 under Code of Civil Procedure section 1286.2, subdivision (a)(5), as an independent and additional ground, on the basis that the royalty correction ruling issued two days before Respondents' ARC Rule 19 opposition deadline—the same procedural defect the Arbitrator acknowledged in the companion cost ruling—and the April 16 Final Award contains no ruling on royalties;

4. Deny the request for declaratory relief affirming continuing royalty obligations under the License Agreement;

5. Confirm the LP interest award of \$961,526 and the cost award of \$16,232.99 and enter judgment thereon, with 7% post-award interest on those confirmed components from April 16, 2026; [and]

6. In the alternative, correct the Award under Code of Civil Procedure section 1286.6, subdivision (a), to substitute the arithmetically correct HCM ownership percentage of 62.50%—derived from Trial Exhibit 218—for the 67.96% figure in the Award, reducing ownership-interest damages from \$961,526 to \$884,200 ....”

(Response, pp. 6:9-7:2.)

A.

Respondents’

Request to Vacate the “Royalties” Portion of the Final Award

Hola Comida I (as

“Licensor”) and HCH (as “Licensee”) entered into a License Agreement on June 3, 2022, regarding the use and rights to the name, likeness, and other associated intellectual property of Egan and Gil (the “Chef Marks”), and regarding the use of the same for Mirame (the “Mirame Marks”). (5/7/26 Escalante Decl., Exh. C –

a copy of the License Agreement, p. 1.)

#### The License Agreement

stated: “With respect to the MÍRAME Marks and the CHEF Marks, Licensors shall be paid an annual royalty (‘Royalty’) equal to one percent (1.00%) of Gross Revenue of the Licensee’s Business from the Restaurants.” (License Agreement, § 7.A.) The term “Restaurants” was not defined in the agreement. The agreement only described the term as referring to “multiple restaurants” that were “to be developed” by Licensee. (See *id.* in the Recitals sections [“WHEREAS Licensee, directly and indirectly through one or more subsidiaries, desires to utilize the MÍRAME Marks and the CHEF Marks (together the ‘Marks’) in connection with the operation of multiple restaurant (the ‘Restaurants’) to be developed [by] Licensee (‘Business’) ...”].)

The arbitrator, Hon. Andrew

C. Kauffman (Ret) (“Arbitrator”) found the following.

1. The License Agreement was never terminated.
2. Under the License agreement, Gil was entitled to royalties equaling 0.5 percent of the gross revenue of two restaurants, Mirate and Daisy.
3. Based on expert testimony, the sum of those royalties for the two restaurants was \$112,103.10.

(See 5/7/26 Escalante Decl., Exh. E -a copy of the Arbitrator’s 3/18/26 Ruling on Application for Correction of Award, p. 2 [“However, inasmuch as Daisy, as well as Mirate, is being operated by some combination of Hola Comida Hospitality and Rola Comida Management and no evidence was presented that the above Licensing Agreement with Rola Comida I was ever terminated, Gil remains entitled to his share of the provided royalty for licensed use of his Chef Marks. Otherwise, as there is no evidence that Rola Comida I has any ownership interest in these entities, no evidence that Gil was ever involved in the business of these entities and no evidence that Gil ever expressed any interest in participating in the ‘front of the house’ management of Mirame or Mirate, complainants’ ownership interest does not extend here. ¶ .... ¶ In determining these amounts, the expert testimony of Alstadt is conclusive. He notes that Egan has a 67.96% ownership interest in Rola Comida Hospitality, which owns 100% of Mirate. He



opines that the present value of Mirate is \$2,887,430 as of December 31, 2025, and that the value of 49% of Egan's ownership interest is \$961,526.

Additionally, based upon actual and projected revenue, Alstadt opines that the gross revenue for Mirate for years 2024 and 2025 is \$8,378,640 and \$8,125,056, respectively, and that the annualized gross revenue for Daisy's first year of operation is \$5,916,923. Each of these opinions is supported by his review of all related financial records. No conflicting evidence or opinion is presented.

¶ .... ¶ Accordingly, as against Egan, Hola Comida III, Hola Comida Hospitality, and Hola Comida Management, I award complainants damages in the amount of \$961,526. Having calculated that one-half of one percent of \$8,378,640 is \$41,893.20; that one-half of one percent of \$8,125.056 is \$40,625.28; and that one-half percent of \$5,916,923 is \$29,584.62, I award those additional damages, totaling \$112,103.10, against Hola Comida IV, Hola Comida Hospitality, and Hola Comida Management to Gil only"].)

Respondents now argue that the Arbitrator exceeded his powers in awarding Gil the royalties for the following reasons:

a.

"The License Agreement was never submitted to arbitration. No party filed claims under it, no stipulation extended the arbitration to encompass it, and it was introduced at the evidentiary hearing solely as documentary background evidence;

b.

The License Agreement is a separate contract from both versions of the LP Agreement—executed more than two years after the January 2020 LPA, between different parties (Hola Comida I, LP as Licensor and Hola Comida Hospitality LLC as Licensee)—and neither version of the LP Agreement's arbitration clause encompasses disputes arising under it;

c.

Section 22 of the License Agreement affirmatively withdraws License Agreement disputes from arbitration, providing that the courts of Los Angeles County 'shall have exclusive jurisdiction to hear and decide all controversies that may arise under or concerning this Agreement';

d.

The First Amended Notice of

Claims—the operative pleading defining the scope of the arbitration—contains no cause of action under the License Agreement, no factual allegation that any royalties are owed to Mr. Gil, and no prayer for royalty damages. The word ‘royalty’ does not appear. An arbitrator lacks authority to award damages on a theory the parties never submitted;

e.

Section 7(A) of the License

Agreement identifies the royalty obligee as Hola Comida I, LP, not Mr. Gil personally. Mr. Gil's only path to any portion of those royalties was through his 49% LP interest—the same interest already fully compensated in the \$961,526 ownership-interest award. Awarding direct royalties on top of that award constitutes impermissible double recovery; and

f.

The prospective declaratory relief requested in the Second Petition— affirming Mr. Gil's right to receive 0.5% of Gross Revenues at Daisy and Mirate until the License Agreement "is lawfully terminated"—would enforce a contract with an exclusive court jurisdiction clause that was never before the Arbitrator."

(5/18/26

Response to Second Petition, p. 4:4-28.)

In the reply, Petitioner

argues that the Arbitrator did not exceed his powers for the following reasons.

First,

the royalties issue fell within the scope of the arbitration clause of the LP Agreement. (See 5/7/26 Escalante Decl., Exh A – a copy of the LP Agreement § 14.4 ["All Parties agree to resolve any claim or dispute arising under or relating to this Agreement or the business and purpose intended hereunder, through binding arbitration"]; 5/26/26 Reply, pp. 2:26-3:3 ["First, the arbitration agreement pulls in any claim or dispute ‘arising under or relating to’ the ‘business and purpose intended hereunder.’ [Citation.] Damages awarded based on the value of a License Agreement signed by the partnership (Hola Comida I LP) and in furtherance of the partnership that Mr. Egan wrongfully repudiated is manifestly a claim or dispute ‘arising under or relating to’ the business of

the partnership”].)

Second, the Arbitrator had broad, equitable authority to award damages he saw fit. (5/26/26 Reply, p. 3:14-20.)

Third, “Respondents raised these arguments prior to issuance of the Final Award and, by not revisiting [his] interim ruling on this point, the Arbitrator has rejected these arguments.” (5/26/26 Reply, p. 4:11-14.) Specifically, “The Arbitrator’s interim ruling, issued on February 23, awarded royalties. (Escalante Decl., Ex. C.) On March 5, Mr. Gil requested additional royalties and costs. (Escalante Decl., ¶ 9.) The Arbitrator issued additional rulings on March 19, 2026, addressing the request for additional royalties and costs. (Escalante Decl., Ex. H.) Only then did Respondents raise an objection to both the award of costs and royalties. (Escalante Decl., ¶ 12.) The Arbitrator withdrew the award on costs as premature (Escalante Decl., Ex. I), which the Court previously found appropriate over Mr. Gil’s objection, and the Arbitrator issued a new award on costs. (Escalante Decl., Exs. Accordingly, for that period of time when the Arbitrator was reconsidering the cost award, it was purportedly free from limitation on any changes. [Citation.] Nevertheless, despite Respondents’ request to reconsider the royalties, the Arbitrator made no change to the ruling on royalties. Accordingly, the Arbitrator’s Final Award implicitly reaffirmed the rejection of Respondents’ arguments.” (Id. at p. 4:14-28.)

Fourth,  
“the award of damages based on unpaid royalties is not an inappropriate double recovery.” (5/26/26 Reply, P. 5:12-13.)

Fifth, the royalty issue is not a “jurisdictional” issue; it is a damages issue and relief issue, which the Arbitrator considered and ruled upon. (5/26/26 Reply, p. 6:1-7.)

In the supplemental brief and connected to the third point above, Petitioner argues that Respondents waived their royalties dispute by failing to submit it to the Arbitrator in the first instance. (6/16/26 Supplemental Brief in Support of Second Petition, p. 5:3-4.)

The Court finds Petitioner’s argument that the arbitration clause in the LP Agreement encompassed the License Agreement issue unpersuasive. Granted, “[b]road contractual provisions for arbitration [such

as the one in the LP Agreement] are to be liberally construed.’ [Citation.]” (Bigler v. Harker School (2013) 213 Cal.App.4th 727, 738.) However, “[a]rbitration is strictly a matter of consent. A party cannot be required to arbitrate a dispute that he or she has not agreed to submit to arbitration.” (Duran v. EmployBridge Holding Co. (2023) 92 Cal.App.5th 59, 65.) “[I]nterpretation of the arbitration agreement employs the ordinary rules of contract interpretation. [Citation.] Our goal is to give effect to the mutual intention of the parties at the time the contract was formed.” (Duran v. EmployBridge Holding Co. (2023) 92 Cal.App.5th 59, 65.) “Under California law, the first step in analyzing the meaning of a contract is to determine whether the language is ambiguous—that is, reasonably susceptible to more than one meaning.” (Id. at p. 66.) When the parties to an arbitration agreement indicate the agreement is ambiguous by disputing its meaning of a contract but fail to present extrinsic evidence in support of their arguments, California courts “resolve the question of ambiguity based solely on the contents of their agreement.” (Ibid.) Here, the Court finds that there is nothing in the LP Agreement that indicates that the parties bound by that agreement intended to arbitrate their dispute regarding the License Agreement. Indeed, the LP Agreement was executed on January 2, 2020, by HRL and Gil, while the License Agreement was executed approximately two years later in June 2022, and by different parties, Hola Comida I and HCH. Therefore, Petitioner’s argument that the scope of the arbitration clause in the LP Agreement covered disputes under the License Agreement is unpersuasive.

Petitioner’s other arguments, that the Arbitrator had broad authority to award Gil the royalties and that Respondents waived their right to dispute that award by refusing to contest that part of the award in front of the Arbitrator, are also unpersuasive for the following reasons.

As Respondents allude to in their supplemental brief, Code of Civil Procedure section 1284 (“Section 1284”) did not give the Arbitrator the authority to reconsider his interim ruling on the ground that he exceeded his powers. Section 1284 states: “The arbitrators, upon written application of a party to the arbitration, may correct the award upon any of the grounds set forth in subdivisions (a) and (c) of Section 1286.6 not later than 30 days after service of a signed copy of the award on the applicant” (emphasis added). Section 1286.6 in turn states: “Subject to Section 1286.8, the court, unless it vacates the award pursuant to Section 1286.2, shall correct the award and confirm it as corrected if the court determines that: ¶ (a) There was an evident miscalculation of figures or an evident mistake in the description of

any person, thing or property referred to in the award; ¶ (b) The arbitrators exceeded their powers but the award may be corrected without affecting the merits of the decision upon the controversy submitted; or ¶ (c) The award is imperfect in a matter of form, not affecting the merits of the controversy” (italics added). Therefore, because Section 1284 did not allow the Arbitrator to reconsider his interim ruling under subdivision (b) of Section 1286.8, it would have been futile for Respondents to challenge the interim ruling on the basis that the Arbitrator exceeded his powers regarding the License Agreement issue.

Granted, courts “give ‘substantial deference to the arbitrator[’s] own assessments of [his] contractual authority.’ [Citation.]” (California Union Square L.P. v. Saks & Co. LLC (2020) 50 Cal.App.5th 340, 349.)

In addition, unless the parties’ contract or an agreed submission to arbitration explicitly and unambiguously limits an arbitrator’s powers, the arbitrator may base his decision upon broad principles of justice and equity. (See Cable Connection, Inc. v. DIRECTV, Inc. (2008) 44 Cal.4th 1334, 1355 [“‘Arbitrators, unless specifically required to act in conformity with rules of law, may base their decision upon broad principles of justice and equity, and in doing so may expressly or impliedly reject a claim that a party might successfully have asserted in a judicial action.’ [Citations.]”]; J.C. Gury, supra, 152 Cal.App.4th at p. 1305 [“‘An exception to the general rule assigning broad powers to the arbitrators arises when the parties have, in either the contract or an agreed submission to arbitration, explicitly and unambiguously limited those powers. [Citation.] ‘The powers of an arbitrator derive from, and are limited by, the agreement to arbitrate. [Citation.] Awards in excess of those powers may, under sections 1286.2 and 1286.6, be corrected or vacated by the court.’ [Citation.]”].)

Here, there is no evidence that anything in the arbitration provision in the LP Agreement or the parties’ pleadings in the arbitration explicitly and unambiguously limited the Arbitrator from determining the License Agreement issue.

However, as explained above, arbitration is a matter of contract, and there is no evidence that the parties agreed to arbitrate the License Agreement issue.

The Court also finds that this case is unlike others in which the Court of Appeal held a party waived a limitation on the scope of arbitration.

In J.C. Gury, for example, the Court of Appeal found that the parties' arbitration clause expressly limited the arbitrator's power to modify or alter the terms of the contract. (J.C. Gury, *supra*, 152 Cal.App.4th at p. 1304.) The arbitration clause stated: "'Scope of Power: In any arbitration proceeding arising under this Contract, the arbitrators shall not have the power to change, modify or alter any expressed condition, term or provision of this Contract or to grant an award which has such effect, and to that extent the scope of their authority is so limited.'" (Id. at p. 1305.) The arbitrator in that case issued an award finding a contract clause unconscionable, a finding that necessarily implicated the limitation in the arbitration clause. (Ibid. ["In this case, it is difficult to disagree with the proposition that an arbitral finding that a contract provision is unconscionable and unenforceable necessarily effects a change or alteration in that provision, within the meaning of the parties' arbitration clause. Certainly an award founded on the conclusion a contractual provision is unenforceable 'has [the] effect' of 'chang[ing], modify[ing] or alter[ing]' that provision of the contract".].)

Despite finding that the arbitration award implicated the limitation provision in the arbitration clause, the Court of Appeal concluded that the arbitrator did not exceed his powers by deciding the unconscionability issue because the appellant had waived enforcing the limitation provision in the following ways.

First, the appellant was aware of the appellee's unconscionability argument before the arbitration. (See J.C. Gury, *supra*, 152 Cal.App.4th at p. 1306 ["Before the arbitration, Gury [the appellee] and Nippon Carbide [the appellant] submitted briefs for the arbitrator's consideration. Gury devoted almost half of its brief to its contention that the warranty disclaimer in the contract was unenforceable and unconscionable. In reply, Nippon Carbide argued that 'no basis exist[ed] for refusing to enforce' its warranty disclaimer. It distinguished precedents cited by Gury, and cited precedent rejecting claims that a contract's warranty disclaimer and damages limitation were unconscionable".].)

Second, "at no time [during the arbitration did the

appellant] 'remind[] the arbitrator' of the contractual limitation on the scope of his authority in the arbitration clause of the contract," nor "cite[d] to any evidence, pleading or argument in the record showing it ever suggested to the arbitrator that he had no authority to find the warranty clause unconscionable or to refuse to enforce it." (Ibid.) "[T]he record [there] support[ed] only one conclusion: that both parties unequivocally submitted the issue of unconscionability to arbitration. Having done so, [the appellant could] ... not now complain that the arbitrator exceeded his authority." (Ibid.)

Here, unlike J.C. Gury, Petitioner has not presented any evidence that (1) Respondents were aware that the License Agreement issue was "submitted" to the Arbitrator (e.g., through Gil's claim for arbitration), and (2) Respondents waived the right to enforce the exclusive jurisdiction clause in the License Agreement by failing to challenge Gil's pleadings seeking adjudication of issues under that agreement.

Therefore, the Court concludes that the Arbitrator acted in excess of his authority when he made rulings regarding the License Agreement issue, including awarding Gil royalty interests in Mirate and Daisy restaurants.

Accordingly, Respondents' request to sever the royalty and License Agreement portion of the Final Award is GRANTED. In light of that conclusion, the parties' arguments regarding whether the royalty portion of the award constitutes double recovery and whether Respondents were given the opportunity to contest the royalty award are moot.

B.

Respondents'

Request to Correct Arithmetic Error in the Final Award

Respondents ask the Court to correct an "evident arithmetic error" pursuant to Code of Civil Procedure section 1286.6(a), which allows correction where: "There was an evident miscalculation of figures or an evident mistake in the description of any person, thing or property referred to in the award ...."

Respondents argue that: "The Award applies a 67.96% ownership percentage for Hola Comida Management LLC's [i.e., HCM's] interest in

Hola Comida Hospitality LLC [HCH]. [However,]

Trial Exhibit 218—the 2025 cap table for [HCH]—shows

HCM holds 21,771 Common Units out of 34,833 total Units outstanding, which equals 62.50%. The 67.96% figure cannot

be derived from Trial Exhibit 218 or any other exhibit in the record. Substituting 62.50% for 67.96%, applied to the same enterprise value and multiplier the Arbitrator used, produces correct damages of \$884,200—a reduction of \$77,326.” (5/18/26 Response to Second Petition, pp. 5:25-6:5.)

However, as Petitioner argues, Respondents raised the ownership percentage argument before the Arbitrator, and the Arbitrator rejected it. (See 5/7/26

Escalante Decl., Exh. D -Respondents’ 3/10/26 Request for Correction, pp. 5:26-7:8 [“The Award cannot selectively rely on the HCH Agreement to establish Egan’s percentage of ownership while ignoring the same agreement’s provisions defining the economic value of that ownership. Indeed, the 67.96% figure the Award relies upon is itself inaccurate. The Membership Schedule to the HCH Agreement reflects that HCM holds 21,771 Common Units out of 34,833 total Units outstanding, a 62.50% interest, not 67.96%. Whether ruling the interest is 67.96%, or correctly ruling HCM’s interest in HCH is 62.50%, the straight-line application of the HCM interest to the enterprise value determined by Mr. Altstadt does not account for the distinction between Class A and Common Units and therefore overstates the value of HCM’s interest. Mr. Altstadt himself conceded that if ownership percentage information differed from his assumptions, his numbers “could — would have to be adjusted.” [Citation]” (emphasis removed)]; 5/7/26 Escalante Decl., Exh. E

-a copy of the Arbitrator’s 3/18/26 Ruling on Application for Correction of Award, p. 1 [“Respondents’ application is denied. It offers an analysis of the inter-relationship of two exhibits that were minimally referenced during the hearing, and about which little or no testimony was presented. Based upon this analysis, respondents seek reconsideration of the testimony and opinions of expert witness John Altstadt and propose that a different manner of damage calculation be adopted. Rather than advocating for correction of an evident miscalculation or an evident mistake in description of a person, thing, or property referred to in the Award, in effect, this application is for consideration of additional evidence, consideration of an interpretation of that evidence that was not presented at the hearing, and for the reweighing of the evidence that was”].)

The Court finds that



Respondents are asking the Court to do more than fix a clear miscalculation of figures; they are asking the Court to reweigh the evidence and application of values. There is no statutory basis for that request.

Therefore, Respondents' request for an order changing Gil's ownership percentage is denied.

C.

Other

Portions of the Final Award

Respondents have not challenged other portions of the Final Award. Therefore, the Court grants Petitioner's request to confirm the entire Final Award except the vacated portions.

## V. CONCLUSION

The

Petition to Confirm the Arbitration Award is GRANTED IN PART and DENIED IN PART as follows.

The

request to confirm part of the arbitration award that awarded Claimant Joshua Gil the following remedies is GRANTED:

(a)

Ownership-Interest

Damages of \$961,526.00 from Mr. Egan, HCIII, HCH, and HCM, jointly and severally;

(b)

Costs

of \$16,232.99 from all Respondents, jointly and severally;

(c)

Post-Award,

Pre-Judgment Interest of \$9,823.47 at the rate of seven percent (7%) per annum (equating to \$209.01 per day) from April 16, 2026 through the date hereof; and

(d)

Declaration

that the Limited Partnership Agreement, dated January 2020, and executed by both Mr. Gil and Mr. Egan, is binding on Mr. Gil and Mr. Egan.

The

petition is otherwise DENIED.

Moving Party is ordered to give notice and to file and serve, within 5 days of this ruling, a proposed order consistent with this ruling.

DATED:

July 14, 2026

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Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at [email protected] with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without

leave.

[1] The proposed order states "\$97,500.07," but the arbitrator later corrected and reduced the costs to \$16,232.99.